

EMI and its Legal Issues

When a customer decides to become a borrower, they agree to the terms and conditions set by the banks. This agreement is legally binding, and banks have the right to act upon it. That being said, borrowers have their rights too.

Before going into the rights and issues of availing EMIs, an important point to discuss would be the precautions you can take to safeguard yourself from loan-related mistakes. First, read the fine print. This might be the most boring and mundane task you have ever been asked to do, but this is one of the best practice that could save from any loan related issues. Read the terms and conditions set by the lender and understand the extent of your liability. Even getting external help to understand them would not be a far-fetched idea in case you have trouble understanding the legal terms.

Terms and conditions differ from individual lenders. Making a note of them will help you navigate issues swiftly with the least risk. Skipping an instalment is a violation of the agreement as for signing on the dotted line, you have to agree on making monthly payments as well. Skipping more than a few payments amounts to loan default and banks can take further action to recover their money.

In the case of sudden job losses, accidents or medical emergencies where the reason is genuine, banks do relax terms for borrowers. Banks need assurances that the loan would repay, and instant communication strengthens the banks' confidence in the borrower. Lenders might restructure the loan or convert it into a secured loan if the borrower agrees to it or needs it. Skipping an instalment can invite penalties and cause an adverse effect on your CIBIL score. This also affects the creditworthiness of any co-borrower or guarantor, if any.

In the case of movable assets (vehicles) or fixed assets (buildings, properties) the lender has the right to seize and auction the property if there is a loan default. This can only be done after following through with the procedures set by the Reserve Bank of India and the Indian Banking Association. Banks are not usually eager to do this as most properties might fall under Non-Performing Assets (NPA). The NPA portfolio under banks is rising, and they are not eager to add to it.

If, in any circumstances, you had to default on a loan, don't give up entirely. Similar to the rights of lenders to recover loans, borrowers have the right to due process. These include the Right to Appeal, Right to Notice, Right to Be Heard, Right to Fair Value, Right to Balance and the Right to Be Treated Politely. These rights ensure that the borrower is given the oppor-